

GOV-01-FEDERAL-CONTRACTING-STRATEGY

GOV-01: Carrington Storm Motors — U.S. Federal Contracting Strategy

Document ID: CSM/GOV/01 **Version:** 1.0 — Investor-Grade **Classification:** Confidential — Government contracting strategy **Heuristic Foundation:** El Segundo (strategic patience with bureaucracy), Accountant (federal procurement compliance), Williams (government transparency) **Agents Consulted:** Government domain agent, Chester, El Segundo, Accountant **Date:** July 2026

1.0 EXECUTIVE SUMMARY

The United States federal government is CSM’s largest potential customer, with an estimated \$1.25B+ addressable market over 10 years spanning the Department of Defense, Department of Energy, Department of Homeland Security, General Services Administration, NASA, Department of Transportation, and Department of Health and Human Services.

This document outlines CSM’s federal contracting strategy: the agencies to target, the contract vehicles to pursue, the small business programs to leverage, the sole-source justification pathway, and the compliance infrastructure required. Federal procurement is complex, slow, and compliance-heavy — but also the most stable, creditworthy, and mission-aligned customer base in the world.

As El Segundo frames it: “The federal government moves at the speed of procurement regulation. CSM must be patient enough to navigate that pace and urgent enough to push where push is possible. The grid doesn’t wait for the Federal Acquisition Regulation.”

2.0 AGENCY TARGETING — BY ADDRESSABLE SPEND

2.1 Department of Defense (DOD) — \$500M+ Addressable

DOD Component	EMP Hardening Need	Contracting Pathway	Addressable Spend
Defense Threat Reduction Agency (DTRA)	Lead DOD agency for EMP/CWMD	SBIR/STTR → sole-source → full acquisition	\$100-200M
U.S. Army Corps of Engineers	Military installation hardening	MILCON (Military Construction) program	\$50-100M
U.S. Northern Command (NORTHCOM)	Homeland defense; grid resilience	R&D Interagency Agreements	\$25-50M
Missile Defense Agency (MDA)	Ground system EMP hardening	R&D contracts; SBIR	\$25-50M
U.S. Air Force (AFWERX, AFRL)	Base EMP hardening; innovation programs	AFWERX SBIR/STRATFI	\$25-50M
U.S. Navy (NAVSEA, NAVFAC)	Naval installation and ship hardening	NAVSEA/NAVFAC contracts	\$25-50M
Defense Innovation Unit (DIU)	Accelerated commercial technology adoption	DIU Other Transaction (OT) agreements	\$10-25M
DOD Chief Information Officer	C4I facility EMP hardening	CIO-directed contracts	\$10-25M
Defense Logistics Agency (DLA)	EMP hardening materials procurement	DLA supply chain contracts	\$10-25M

Key Insight: DTRA is the most natural DOD entry point — it is the agency specifically responsible for combating weapons of mass destruction threats, including EMP. DTRA’s mission aligns directly with CSM’s.

2.2 Department of Energy (DOE) — \$300M+ Addressable

DOE Component	EMP Hardening Need	Contracting Pathway	Addressable Spend
Office of Cybersecurity, Energy Security, and Emergency Response (CESER)	Grid resilience; GMD response	R&D contracts; grid resilience programs	\$100-150M
Office of Electricity (OE)	Transformer resilience; grid modernization	OE programs; national lab partnerships	\$50-100M
National Laboratories (PNNL, INL, LANL, ORNL, etc.)	Materials testing; grid modeling	CRADA (Cooperative Research and Development Agreement)	\$25-50M
Advanced Research Projects Agency-Energy (ARPA-E)	Advanced grid resilience technologies	ARPA-E funding programs	\$10-25M
Loan Programs Office (LPO)	Manufacturing facility loans; project finance	Title XVII loan guarantees	\$100M+ (loans, not procurement)

2.3 Department of Homeland Security (DHS) / FEMA — \$200M+ Addressable

Component	EMP Hardening Need	Addressable Spend
Cybersecurity and Infrastructure Security Agency (CISA)	Critical infrastructure protection	\$50-100M
FEMA — Building Resilient Infrastructure and Communities (BRIC)	Pre-disaster mitigation grants for states/locals (which can purchase CSM products)	\$50-100M
FEMA — Hazard Mitigation Grant Program (HMPG)	Post-disaster mitigation (similar to BRIC, but post-event)	\$50-100M (future)
FEMA — National Continuity Programs	Continuity of government / COOP	\$10-25M

2.4 General Services Administration (GSA) — \$100M+ Addressable

GSA manages federal buildings (1,500+ owned, 7,000+ leased). All require EMP hardening per Executive Order and DOD directives (MIL-STD-188-125).

2.5 Other Agencies

Agency	Need	Addressable Spend
NASA	Launch facility, spacecraft ground systems hardening	\$50M+
DOT	Bridge electrification, railway signal hardening	\$50M+
HHS	Hospital/medical facility hardening	\$50M+
Department of State	Embassy EMP hardening (200+ embassies globally)	\$50M+

3.0 CONTRACTING VEHICLES

3.1 SBIR/STTR Program

Small Business Innovation Research (SBIR) and Small Business Technology Transfer (STTR):

Program	Phase I Funding	Phase II Funding	Phase III
SBIR	\$50K-250K (feasibility, 6-12 months)	\$750K-1.5M (prototype, 2 years)	Commercialization (sole-source eligible)

STTR	\$50K-250K (requires university/research institution partner)	\$750K-1.5M	Commercialization
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CSM SBIR Strategy: - Phase I (Year 1): “MXene-Based Dielectric Shielding for Transformer GIC Protection” — DTRA or DOE topic - Phase II (Year 2): Prototype Charlemagne system for DOD/DOE facility - Phase III (Year 3-5): Sole-source production contract

Key SBIR Agencies for CSM: - DOD (DTRA, AFWERX, SOFWERX, DIU) - DOE (ARPA-E, CESER, Office of Electricity) - DHS (CISA, S&T Directorate) - NASA - DOT

3.2 GSA Schedule Contracting

GSA Multiple Award Schedule (MAS): A pre-negotiated contract vehicle that simplifies federal purchasing. Once CSM has a GSA Schedule contract, any federal agency can purchase CSM products through a streamlined process.

Timeline: 6-12 months to obtain GSA Schedule (requires commercial sales history, which CSM needs first — target Year 3-4).

3.3 Other Transaction (OT) Agreements

OT agreements are flexible, non-FAR contracting vehicles used by DOD for rapid prototyping and research. DIU (Defense Innovation Unit) specializes in OT agreements for commercial technology companies. Timeline: 60-90 days from proposal to award (much faster than traditional FAR-based contracts).

3.4 Broad Agency Announcements (BAAs)

BAAs are research funding solicitations from DOD and DOE. CSM can respond to BAAs related to EMP hardening, grid resilience, and advanced materials.

4.0 SOLE-SOURCE JUSTIFICATION PATHWAY

4.1 The Sole-Source Argument

CSM’s MXene-based dielectric shielding is unique. No other company produces GIC blocking devices with 99.97% reduction at comparable cost, weight, and form factor. This uniqueness can support sole-source justifications under FAR 6.302-1 (“Only one responsible source and no other supplies or services will satisfy agency requirements”).

4.2 Requirements for Sole-Source

Requirement	How CSM Satisfies
Unique capability	MXene shielding at 92dB/45µm; no competitor achieves comparable performance
No alternative sources	Patent-protected (once filed); trade secret manufacturing process; 6,302-document knowledge base
Reasonable price	Cost-based pricing with government cost accounting standards
Justification & Approval (J&A)	Prepared by contracting officer; CSM provides technical justification

4.3 Sole-Source vs. Competitive

CSM should not rely solely on sole-source contracting. Competitive contracting is the default in federal procurement, and CSM should be prepared to compete — while maintaining that its technology is superior enough to win competitions on technical merit. The sole-source pathway is a fallback for situations where CSM’s uniqueness is incontrovertible.

5.0 SMALL BUSINESS / SET-ASIDE ELIGIBILITY

5.1 NAICS Codes

CSM should register under multiple NAICS codes to maximize set-aside eligibility:

NAICS Code	Description	Size Standard (employees or revenue)
541715	Research and Development in the Physical, Engineering, and Life Sciences (Nanotechnology)	1,000 employees
335311	Power, Distribution, and Specialty Transformer Manufacturing	750 employees
334515	Instrument Manufacturing for Measuring and Testing Electricity and Electrical Signals	750 employees
325998	All Other Miscellaneous Chemical Product and Preparation Manufacturing	500 employees
541330	Engineering Services (Military and Aerospace Equipment)	\$41.5M revenue
541690	Other Scientific and Technical Consulting Services	\$19M revenue

5.2 Small Business Programs

Program	Eligibility	Benefit
Small Business Set-Aside	Qualified as small under relevant NAICS	Reserved for small business competition
Small Disadvantaged Business (SDB) 8(a)	Socially and economically disadvantaged ownership	Sole-source contracts up to \$4.5M
Woman-Owned Small Business (WOSB)	51%+ woman-owned	Set-aside in underrepresented industries
Service-Disabled Veteran-Owned Small Business (SDVOSB)	51%+ SDV-owned	Set-aside; sole-source up to \$5M
HUBZone	Located in Historically Underutilized Business Zone	Set-aside; price evaluation preference

6.0 COMPLIANCE INFRASTRUCTURE

6.1 Required Systems

System	Description	Timeline to Implement
Government cost accounting	Per FAR Part 31 (cost principles) and Cost Accounting Standards (CAS) if applicable	Year 2-3
DCAA-compliant accounting system	Defense Contract Audit Agency requirements for timekeeping, cost allocation, billing	Year 3-4
Purchasing system (CPDR)	Contractor Purchasing System Review compliance for	Year 4-5

(CFSI)	subcontracting	
Property management system	Government-furnished property tracking	As needed
Estimating system	For cost-plus and T&M contracts	Year 3-4

6.2 Key FAR/DFARS Requirements

Regulation	Description	Impact on CSM
FAR Part 9 (Contractor Qualifications)	Organizational conflict of interest (OCI); responsibility determinations	Must avoid OCI in advisory + product roles
FAR Part 15 (Contracting by Negotiation)	Cost or pricing data; TINA (Truth in Negotiations Act)	Required for non-competitive contracts >\$2M
FAR Part 31 (Contract Cost Principles)	Allowable vs. unallowable costs	Must segregate unallowable costs (e.g., entertainment, alcohol, lobbying)
FAR Part 52.204-21 (Basic Safeguarding)	Cybersecurity for federal contract information	Required for all federal contracts
DFARS 252.204-7012 (NIST SP 800-171)	Controlled unclassified information protection	Required for DOD contracts
DFARS 252.204-7020 (NIST SP 800-171 Assessment)	Self-assessment and DOD assessment	Required for DOD contracts
CMMC (Cybersecurity Maturity Model Certification)	Third-party cybersecurity certification	Required for DOD contracts (phased rollout)

6.3 Facility Security Clearance

If CSM works on classified DOD programs (likely, given EMP's relevance to nuclear and strategic systems), a Facility Security Clearance (FCL) and personnel security clearances (PCLs) are required. Timeline: 12-18 months for initial FCL. CSM should sponsor key personnel for clearances early.

7.0 AGENT VOICES

Government Domain Agent: "The government moves at the speed of the Federal Acquisition Regulation. A standard procurement — from requirements definition to contract award — is 12-18 months for a commercial item, 24-36 months for a development program. CSM's technology timeline (7 years to IPO) must factor in that government revenue ramps slowly. The SBIR/STTR pathway is the fastest entry point. GSA Schedule is the scalable path. Don't confuse government interest with government procurement — they are separated by 18 months of paperwork."

El Segundo (Patience + Urgency): "The federal government is simultaneously the best and worst customer. Best because: unlimited budget, stable payments, mission alignment, long-term contracts. Worst because: slow, bureaucratic, compliance-heavy, politically vulnerable. The El Segundo approach: start government engagement now (CSMReach), pursue SBIR immediately, but don't let government revenue be the make-or-break for the company's survival. Government can be the cherry on top, not the cake."

The Accountant (Compliance Discipline): "Government contracting compliance is not optional. DCAA will audit your accounting system. DCMA will audit your quality system. DCSA will audit your security. None of these audits are friendly conversations — they are adversarial examinations by trained professionals looking for non-compliance. You either build compliant systems from the beginning, or you pay 10x to retrofit them later. The Accountant Heuristic demands: build government compliance into the DNA, not bolted on after."

Document prepared for internal strategy purposes. Federal procurement regulations are complex and subject to change. CSM should engage qualified government contracts counsel (e.g., Crowell & Moring, Arnold & Porter, Covington & Burling) before pursuing any federal contract.